

Calendar Lines # 4**Case Name** Sabina Hall vs UDream Builders, Inc.**Case No.** 24CV435287**Motion to Set Aside Default Judgment****I. BACKGROUND**

On March 13, 2025, the Honorable Daniel Nishigaya authorized a default judgment in favor of Plaintiff Sabina Hall (“Hall”) and against Defendant UDream Builders, Inc. (“UDream”) in the amount of \$273,808.47 comprised of (\$212,380.00 in damages; \$55,801.00 in prejudgment interest at 10%; \$4,982.37 in attorney’s fees; and \$645.10 in costs). A Notice of Entry of Judgment was then filed on August 11, 2025.

On December 8, 2025, Defendant UDream filed this motion to set aside default judgment under Code of Civil Procedure sections 473 (b) & (d) and 473.5(a) and (b), 415.20 and 418.10. (Defendant’s Motion, p. 2). Defendant challenges the substituted service on UDREAM as invalid as a matter of fact and law. (*Id.*). Specifically, Defendant avers that the plaintiff’s substituted service on Sandra Contreras on April 16, 2024 was improper as she was an unauthorized person to receive service. (*Id.*, at p. 3). Defendant also contends that documents were not mailed to its 3200 Canoga Ave., #111, Woodland Hills, California 91367 address (*Id.*, at p. 3-4). Defendant argues that the plaintiff obtained the judgment by fraud. (*Id.*, at p. 4).

Plaintiff Hall filed opposition papers on May 26, 2026. Plaintiff repudiates the defendant’s allegations that service was not proper under Code of Civil Procedure section 415.20. Plaintiff asserts that personal delivery to a competent adult was effected at UDREAM’s usual place of business; mail service was confirmed; and photographic evidence of the individual accepting service. “Moreover, UDREAM’s principal called Plaintiff’s counsel after service, leaving a voicemail acknowledging receipt of the summons and complaint.” (Plaintiff’s Opposition, p. 1-2; Declaration of Porumbescu, Exhibits B-E). Plaintiff asserts that UDREAM makes false assertions and seeks to have the motion denied. (*Id.*).

Defendant UDream filed a reply brief on June 1, 2026, and avers that the plaintiff has not demonstrated that she will be prejudiced by setting aside the default. (Defendant’s Reply brief, p. 2). Defendants avers that the law favors deciding cases on the merits. (*Id.*, at p. 2-3).

The Court carefully reviewed the following: Defendant’s notice motion; memorandum of points and authorities in support of the motion; Declaration of Hen Galamidi in support of Defendant’s motion; Declaration of Gary N. Sewartz and attached Exhibits A-D (totaling 41 pages); Plaintiff Hall’s opposition papers (totaling 5 pages); Declaration of Sabrina Hall in opposition and attached Exhibits A-D (totaling 5 pages); Declaration of Michelle Porumbescu in opposition and attached Exhibits A- E (totaling 15 pages); Plaintiff’s objection to evidence (totaling 4 pages); Plaintiff’s Request of Judicial Notice (totaling 146 pages); Defendant’s Reply brief (totaling 5 pages); proof of services; and the pleadings.

II. LEGAL STANDARD**A. CODE OF CIVIL PROCEDURE SECTION 473(B)**

Code of Civil Procedure section § 473(b) provides for both discretionary and mandatory relief. In terms of discretionary relief section 473(b), in pertinent part, reads as follows:

The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy

of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken. . .

The mandatory provision of section 473(b) reads, in pertinent part, as follows:

Notwithstanding any other requirements of this section, the court shall, whenever an application for relief is made no more than six months after entry of judgment, is in proper form, and is accompanied by an attorney's sworn affidavit attesting to his or her mistake, inadvertence, surprise, or neglect, vacate any (1) resulting default entered by the clerk against his or her client, and which will result in entry of a default judgment, or (2) resulting default judgment or dismissal entered against his or her client, unless the court finds that the default or dismissal was not in fact caused by the attorney's mistake, inadvertence, surprise, or neglect.

The general underlying purpose is to promote the determination of actions on their merits. (*Even Zohar Construction & Remodeling, Inc. v. Bellaire Townhouses, LLC* (2015) 61 Cal.4th 830). Under this statute, an application for relief must be made no more than six months after entry of the judgment, dismissal, order, or other proceeding from which relief is sought and must be accompanied by an affidavit of fault attesting to the mistake, inadvertence, surprise or neglect of the moving party or its attorney. (Code of Civ. Proc., § 473(b); *English v. IKON Business Solutions* (2001) 94 Cal.App.4th 130, 143).

B. CODE OF CIVIL PROCEDURE 473.5

Code of Civil Procedure section 473.5(a) provides: "When service of a summons has not resulted in actual notice to a party in time to defend the action and a default or default judgment has been entered against him or her in the action, he or she may serve and file a notice of motion to set aside the default or default judgment and for leave to defend the action. The notice of motion shall be served and filed within a reasonable time, but in no event exceeding the earlier of: (i) two years after entry of a default judgment against him or her; or (ii) 180 days after service on him or her of a written notice that the default or default judgment has been entered."

"[A]ctual notice in section 473.5 means genuine knowledge of the party litigant...[A]ctual knowledge has been strictly construed, with the aim of implementing the policy of liberally granting relief so that cases may be resolved on their merits.'" (*Ellard v. Conway* (2001) 94 Cal.App.4th 540, 547 [Citations Omitted]).

"[A] party can make a motion showing a lack of actual notice not caused by avoidance of service or inexcusable neglect . . ." (*Trackman v. Kenney* (2010) 187 Cal. App. 4th 175, 180). "[I]t does not require a showing that plaintiff did anything improper...[T]he defaulting defendant simply asserts that he or she did not have actual notice.'" (*Id.*).

C. CODE OF CIVIL PROCEDURE SECTION 473D

Under Code of Civil Procedure section 473(d), "[t]he court may, upon motion of the injured party, or its own motion, correct clerical mistakes in its judgment or orders as entered, so as to conform to the judgment or order directed, and may, on motion of either party after notice to the other party, set aside any void judgment or order."

D. CODE OF CIVIL PROCEDURE 415.20

Code Civ. Proc. section 415.20 provides that "[i]f a copy of the summons and complaint cannot with reasonable diligence be personally delivered to the person to be served . . . a summons may be served by leaving a copy of the summons and complaint at the person's dwelling house, usual place of abode, usual place of business, or usual mailing address . . . in the presence of a competent member of the household . . . at least 18 years of age, who shall be informed of the contents thereof, and by thereafter mailing a copy of the summons and of the complaint by first-class mail...to the

person to be served at the place where a copy of the summons and complaint were left . . .” (Code Civ. Proc., § 415.20(b)). Service of a summons in this matter is deemed complete on the tenth day after the mailing. (*Id.*).

E. CODE OF CIVIL PROCEDURE SECTION 418.10

Code of Civil Procedure section 418.10 provides in part: “A defendant, on or before the last day of his or her time to plead or within any further time that the court may for good cause allow, may serve and file a notice of motion. . . (1) To quash service of summons on the ground of lack of jurisdiction of the court over him or her.” (Code Civ. Proc., § 418.10, subd. (a)).

III. ANALYSIS

A. REQUEST FOR JUDICIAL NOTICE AND EVIDENTIARY OBJECTION

Plaintiff’s request for judicial notice in support of the plaintiff’s opposition to defendant’s motion to vacate the default judgment as to request No. 5, the March 13, 2025 judgement and No. 6 August 11, 2025, Notice of Entry of Judgment is GRANTED. The remainder of the plaintiff’s request for judicial notice is DENIED as unnecessary and lacking foundation or hearsay, in which the Court cannot take the truth of the matter offered. (See *Duarte v. Pacific Specialty Insurance Company* (2017) 13 Cal.App.5th 45, 51, fn. 6—denying request where judicial notice is not necessary, helpful or relevant).

B. MOTION TO VACATE DEFAULT JUDGMENT

Here, Defendant UDream seeks to set aside default judgment and challenges service. (Defendant’s Motion, at p. 2). the substituted service on UDREAM as invalid as a matter of fact and law. (*Id.*). Specifically, Defendant avers that the plaintiff’s substituted service on Sandra Contreras on April 16, 2024 was improper as she was an unauthorized person to receive service. (*Id.*, at p. 3). Defendant also asserts having knowledge on the identity of Sandra Contreras. (Declaration of Galamidi, p. 13). Defendant asserts that Ms. Contreras is an individual unaffiliated with the defendant. (Defendant’s Motion, at p. 4). Thus, Defendant asserts that the defendant lacked proper notice of the lawsuit. (*Id.*, at p. 6). Defendant also contends that documents were not mailed to its 3200 Canoga Ave., #111, Woodland Hills, California 91367 address (*Id.*, at p. 3-4; Declaration of Galamidi, at p. 13). Defendant argues that the plaintiff obtained the judgment by fraud. (*Id.*, at p. 4). Defendant asserts learning about the Complaint in October 2025 when Guy Samibur notified Mr. Galamidi. (Declaration of Galamidi, at p. 13). Upon this discovery, Mr. Galamidi contacted his attorney. Mr. Galamidi denies ever receiving a copy of the Summons, Complaint, or Judgment via mail service. (*Id.*, at p. 14). Defense counsel attests learning about the Complaint on or around November 4, 2025 and thereafter worked diligently to file this motion. (Declaration of Schwartz, p. 15).

Defendant asserts that it suffers prejudice and seeks to have the matter litigated on the merits. Defendants asserts a multitude of defenses denying the breach of contract, attacks the treble damages claim as not supported by facts, and provides a copy of a proposed Answer to Plaintiff Hall’s Complaint. (*Id.*, at p. 9; Exhibit F). Defendant seeks to relief through this motion so that it may litigate the case on its merits. (*Id.*). Defendant asserts that it has met its burden of showing that it was not aware of the service of the Complaint, until the plaintiff moved to levy the Kohen’s bank account. (*Id.*, at p. 10). Defendant asserts that it will be prejudiced if it is deprived of its ability to litigate the matter on the merits. On the other hand, Defendant argues that the plaintiff will not be prejudiced by setting aside the default judgment as it is constituent with California policy that favors deciding cases on their merits. (*Id.*).

Plaintiff repudiates the defendant’s allegations that service was not proper under Code of Civil Procedure section 415.20. Plaintiff asserts that personal delivery to a competent adult was effected at UDREAM’s usual place of business; mail service was confirmed; and photographic evidence of the individual accepting service. “Moreover, UDREAM’s principal called Plaintiff’s counsel after service, leaving a voicemail acknowledging receipt of the summons and complaint.” (Plaintiff’s Opposition, p. 1-2; Declaration of Porumbescu, Exhibits B-E). Plaintiff asserts that Defendant makes false assertions and that the motion must be denied. (*Id.*).

Plaintiff Hall also opposes the motion on the ground that the defendant delayed to take actions for month. (Plaintiff's Opposition, p. 3). Plaintiff asserts that notice was served in April 2024 ; default entered on November 26, 2024, Judgment entered on March 13, 2025, and a notice of entry was served on August 11, 2025. (*Id.*). Plaintiff asserts that it will be prejudiced if the default judgment is set aside as it has already obtained judgment litigated the default prove-up, incurred substantial cost, and suffered delay caused by the defendant's inactions.

Defendant UDream filed a reply brief on June 1, 2026, and avers that the plaintiff has not demonstrated that she will be prejudiced by setting aside the default. (Defendant's Reply brief, p. 2). Defendants avers that the law favors deciding cases on the merits. (*Id.*, at p. 2-3).

The Court notes that the parties timelines differ based on the disagreement on notice. Plaintiff asserts that notice was proper effective April 2024, while the defendant denies service and discovering the suit only in October and November of 2025. Exhibit C attached to the Declaration of Porumbescu was reviewed by the Court and is identified as a single color photo of an unidentified female who appears to be seated in front of a computer. Plaintiff asserts that this individual is "Sandra Contreras" who was at the UDREAM's place of business and "appeared to be in charge" to argue that service was effectuated. Defendant rejects this and claims that he does not know any Sandra Contrearras, that individuals is unaffiliated with UDREAM and is unauthorized to accept service. (Declaration of Galamidi, p. 13). Plaintiff seeks to offer evidence that Defendant as properly served in April 2024 and in May 2024, called the plaintiff. Plaintiff's counsel submits Exhibit E as an e-mail from her firm with a from address of "donotreply@aspireansweringservice.com" that under 0000994437 states that a "HEN GALAMIDI" telephone number 8183959428 called multiple times to discuss a case, Sabina Hall. The date offered is Friday May 10, 2024. However, the Court notes that this is not an official business record or certified record. The Court cannot take the substance of the matter for the truth of the matter offered.

Defendant's motion to vacate was filed less than two years since the entry of the default judgment. Thus, the Court finds the request is timely. Defendant asserts that service was not proper and seeks to void the default judgment. Both sides contest the service issue at hand. However, for the purposes of section 473.5, the moving party must simply assert that it did not have actual notice. The plaintiff seeks to show that the defendant makes false assertions regarding service, but presented evidence that the court cannot consider such as an unofficial email snip of an alleged call from Hen Galamidi and a photograph of a female that plaintiff asserts is Sandra Contreras taken by the server. The Court cannot consider the truth of the matter asserted, but for the purposes of the motion, finds that defendant has asserted it did not have actual notice. Both sides accuse the other of false assertions, but neither side has made a showing to establish fraud.

Finally, Defendants seeks to vacate the default judgment based on equity and California policy to litigate the matter on its merits. Even where relief is not authorized by statute, "a trial court generally retains its inherent power to vacate orders on equitable grounds where a party establishes that the judgment or order was void for lack of due process or resulted from extrinsic fraud or mistake." *County of San Diego v. Gorham* (2010) 186 Cal.App.4th 1215, 1228-1229 (citations omitted). "While the grounds for an equitable action to set aside a default judgment are commonly stated as being those of extrinsic fraud or mistake, the terms are given a very broad meaning which tends to encompass all circumstances that deprive an adversary of fair notice of hearing whether or not those circumstances would qualify as fraudulent or mistaken in the strict sense. Thus, a false recital of service although not deliberate is treated as extrinsic fraud or mistake in the context of an equitable action to set aside a default judgment." *Munoz v. Lopez* (1969) 275 Cal.App.2d 178, 181 (citation omitted).

IV. CONCLUSION

Based on the foregoing, and the motion to set aside the default judgment is GRANTED. The Defendant is to file an Answer within 30 days of this hearing date. The Court will prepare the formal Order.

Calendar Lines # 5
Case Name Scalable Labs, Inc. vs Suhail Sehgal.
Case No. 24CV450817
Motion for Order Requiring Advancement of Fees and Expenses I. <u>BACKGROUND</u> A. BRIEF FACTUAL BACKGROUND Plaintiff/Cross-Defendant Scalable Labs, Inc. (“Plaintiff Scalable”) filed a Complaint on November 1, 2024 alleging three causes of actions against Defendant/Cross-Complainant Suhail Sehgal (“Defendant Sehgal”) alleging liability for receipt of prohibited dividends, fraudulent transfer, and declaratory relief. (Original Complaint). On December 13, 2024 the second cause of action for fraudulent transfer was dismissed. On December 20, 2024, Defendant Sehgal filed a cross-complaint against Scalable. On January 23, 2025, the parties stipulated to a first amended complaint and on March 17, 2025 to a second amended complaint. On June 23, 2025, Defendant Sehgal’s motion to advance fees and expenses was heard before the Honorable Shella Deen. Plaintiff Scalable opposed the motion. Judge Deen held that Section 7(d) of the parties’ December 29, 2020 Indemnification Agreement provides: "In the event that Indemnitee, pursuant to this Section 7, seeks a judicial adjudication of his rights under, or to recover damages for breach of, this Agreement, or to recover under any directors' and officers' liability insurance policies maintained by the Company, the Company shall pay on his behalf, in advance, any and all expenses (of the types described in the definition of Expenses in Section 13 of this Agreement) actually and reasonably incurred by him in such judicial adjudication, regardless of whether Indemnitee ultimately is determined to be entitled to such indemnification, advancement of expenses or insurance recovery." (June 23, 2025 Order, signed by the Honorable Shella Deen and filed on July 29, 2025). The court denied the motion without prejudice on the grounds that Defendant Sehgal did not present any evidence of any claimed expenses actually incurred by the defendant in seeking such judicial adjudication of his rights under, or to recover breaches of the Indemnification Agreement; reasonable expenses incurred; and time spent in proceeding with seeking adjudication of his rights. (<i>Id.</i>). Given the insufficient information, the Court denied the motion without prejudice, but stated that the court would consider and make a determination upon a future motion. B. RELEVANT PROCEDURAL BACKGROUND On August 22, 2025, Defendant Sehgal renewed its arguments and filed this motion to advance expenses pursuant to the contractual agreement. Defendant seeks an order to advance fees and expense in the amount of \$33,209.14. (Defendant’s motion, p. 2). The motion was accompanied by a proof of service indicating electronic service on that same day. Plaintiff Scalable opposes the motion and filed opposition papers on June 1, 2026. Plaintiff avers that the request to advance expenses is barred by California Corporations Code section 317; defendant was not sued as Scalable’s Chief Financial Officer; public policy precludes advancement for Defendant’s intentional wrongdoing; an advancement of expenses violates the safe harbor rule as the original cross-complaint was voluntarily dismissed; and that prior to a final adjudication of the claims, advancement of fees and expenses is premature. (Plaintiff’s Opposition, at p. 2). Plaintiff seeks to have the request denied on those grounds, or in the alternative, argues that the alleged costs are excessive and seek a reduction.